Value Strategy

Report ran on Saturday, October 10, 2026

STRATEGY VIEW

Leadership is narrow and growth-tilted. Semiconductors, computer hardware, infrastructure software, the oil producers and refiners, large-cap pharma, hospitals, health plans and discount retail are rising. Real estate, utilities, consumer cyclicals, financials, materials, aerospace and biotech are falling, and telecom carriers dropped more than 10% in a day. Oil and the dollar are climbing, Treasury prices are falling with the 10-year yield at its highest since 2002, and credit is softening while volatility eases and the broad index holds up. Rate-sensitive bond proxies and leveraged balance sheets are the losers, and cash-generative businesses with pricing tied to oil, AI demand or defensive consumption are the winners. The book's semiconductor, energy and hospital positions sit with that regime. The biotech, nuclear-power and entertainment exposure sits in falling groups and has to justify itself on company-specific economics. The book is rotating out of media and peak-cycle memory toward cheaper, steadier franchises in pharma and discount retail.

TAPE EXPOSURE

Discount Stores (up) (1): DLTR
Drug Manufacturers - General (up) (1): BMY
Medical - Care Facilities (up) (1): UHS
Oil & Gas Exploration & Production (up) (1): COP
Semiconductors (up) (3): NVDA, TEL, TSM

NEW ENTRIES

Bristol-Myers Squibb Company | BMY [LONG] @ $59.12 | Conviction: MEDIUM

Drug Manufacturers - General · Large cap
Rev -0% · ROIC 15% · P/E 13.0 · P/B 5.40 · ROE 47% · Div yield 4.3%
Analysts 8 Buy / 11 Hold / 1 Sell (as of 10/10/26) · Earnings 10/29/26 (est.)
Industry: Drug Manufacturers - General



High operating margins and solid returns on capital point to a cash-generative franchise. Free cash flow comfortably covers a dividend paid at about half of earnings, and leverage is elevated but interest is well covered. At 13x earnings and about 10x FCF, the stock ranks among the cheapest of its peers, likely because revenue has stalled while older blockbusters lose exclusivity. The discount appears to price that erosion rather than a broken business, though replacement growth is unproven. Risks: Patent expiries on key franchises may erode revenue faster than newer launches replace it, and exclusivity timelines and pipeline durability are unproven.

Dollar Tree, Inc. | DLTR [LONG] @ $118.64 | Conviction: MEDIUM

Discount Stores · Large cap
Rev +10% · ROIC 14% · P/E 14.4 · P/B 6.58 · ROE 46% · Div yield 0.0%
Analysts 9 Buy / 7 Hold / 2 Sell (as of 10/11/26) · Earnings 11/24/26 (est.)
Industry: Discount Stores



Double-digit revenue growth and fast five-year FCF compounding suggest the multi-price-point rollout is enlarging baskets while keeping the value appeal. Interest coverage is ample despite a leveraged balance sheet. At 14x earnings and 12x FCF, the shares have faded in recent months on traffic questions. Trailing earnings include a one-time tariff refund, so the underlying multiple is somewhat higher. Trade-down demand broadening across income groups appears to support the franchise rather than signal a broken model. Risks: Tariff, labor or shrink costs could squeeze margins as the one-time refund rolls off, exposing weaker underlying earnings.

TE Connectivity plc | TEL [LONG] @ $218.29 | Conviction: MEDIUM

Semiconductors · Large cap
Rev +8% · ROIC 14% · P/E 20.8 · P/B 4.70 · ROE 23% · Div yield 1.4%
Analysts 8 Buy / 1 Hold / 0 Sell (as of 10/03/26) · Earnings 11/04/26 (est.) · Ex-div 11/20/26
Industry: Semiconductors



Low leverage, very high interest coverage and steady double-digit FCF growth suggest a durable connector and sensor franchise, likely designed into customer platforms, with AI-infrastructure orders reportedly growing strongly. At 21x earnings and 17x FCF the stock is not cheap in absolute terms, but it trades in the cheapest decile of its peers after a flat year. EPS has lagged over three years, so the discount depends on a recovery that has not yet reached reported earnings. Risks: Auto and industrial demand is cyclical, and a downturn there could offset AI-driven order growth and keep earnings stagnant.

EXITS

FOXA Fox Corporation — 15d held — **-1.1%**
Entertainment · large cap
Exited by review: The pending cash-and-stock Roku acquisition turns a cheap cable-news and sports cash generator into a costlier streaming-distribution bet, which dilutes the original discount case. Entertainment stocks have fallen on most recent sessions alongside a sharp communications selloff, and nothing specific to Fox explains why the company would be spared. [LONG]

CEG Constellation Energy Corporation — 22d held — **+17.0%**
Independent Power Producers · large cap
Industry tape turned down: the Utilities sector tape has been down on 5 of the last 5 trading days. [LONG]

INVA Innoviva, Inc. — 29d held — **+2.7%**
Biotechnology · mid cap
Industry tape turned down: the Biotechnology industry tape has been down on 5 of the last 5 trading days. [LONG]

MU Micron Technology, Inc. — 46d held — **+13.0%**
Semiconductors · large cap
Exited by review: Revenue up more than 250% and a share price 42% above its long-term average mark peak-cycle memory earnings, so the mid-teens multiple no longer represents a discount. A strike authorization at its Taiwan operations adds near-term supply and cost risk, making the position a rotation candidate for steadier value. [LONG]

INCY Incyte Corporation — 92d held — **-3.4%**
Biotechnology · large cap
Industry tape turned down: the Biotechnology industry tape has been down on 5 of the last 5 trading days. [LONG]

CURRENT HOLDINGS

Ticker	Name	Sector	Conviction	Entry Date	Entry $	Current $	Return
UHS	Universal Health Services, Inc.	Health Ca	MEDIUM	10/02/26	$175.72	$177.35	+0.9%
NVDA	NVIDIA Corporation	Technolog	MEDIUM	09/18/26	$222.27	$229.28	+3.1%
TSM	Taiwan Semiconductor Manufacturing Com…	Technolog	HIGH	09/11/26	$433.24	$453.31	+4.6%
COP	ConocoPhillips	Energy	MEDIUM	08/07/26	$117.61	$134.10	+14.0%

4 open positions · Unrealised on $1,000 per trade: +$227.30 · Average return: +5.68%

Notional: every position sized at $1,000 at entry, regardless of actual weight. For comparison between strategies only.

Paper portfolio - no real money. For research only.